

Energy - China

Weekly: China's coal safety supervision expected to tighten further

Industry Overview

Coal: worst coal mine disaster in over 16 years

State media Xinhua reported that at least 82 people were killed in a gas explosion at a coal mine in Qinyuan County, Changzhi City (Shanxi) on 22 May. According to Mysteel (23 May), all 25 coal mines in Qinyuan—representing total capacity of 25.6mntpa—have suspended production. Local authorities indicated that comprehensive grid-style inspections will be conducted across the coal sector. Over the weekend, Mysteel estimated that the number of suspended coking coal mines in Shanxi increased to 73, with combined capacity of 78.9mntpa. While the timeline for resumption in Qinyuan remains uncertain, most other suspended mines are expected to complete self-inspections within 3–5 days before restarting operations. During the week ended 22 May 2026, the QHD 5,500kcal price was flat WoW at RMB834/t. Ports inventory (Northern +Southern) was +1.9% WoW to 23.83mnt as of 21 May 2026. Inventory at the six major IPPs edged up 0.7% WoW to 12.9mnt, daily-burn down 2.1% WoW to 739.7kt. The NEWC 6,000K price was +0.3% WoW to US\$132.05/t, at a 23.5% premium to the QHD price. The Liulin No.4 HCC price was 1,620/t, down 1.2% WoW.

Oil & Gas: prices down with renewed hopes on agreement

Oil: Brent oil decreased by 5.2% WoW to US\$103.5/b and WTI oil prices decreased by 8.4% WoW to US\$96.6/b, during the week-ended 22 May 2026. The WTI discount to Brent expanded from US\$3.8/b to US\$6.9/b. Dirty VLCC (from Arab Gulf to China) dayrate was USD93k/day. **Gas:** The US Henry Hub natural gas price was down 1.8% WoW to US\$2.91/mmbtu; the Netherlands TTF natural gas price was down 4.2% WoW to US\$16.41/mmbtu, 34.7% higher YoY and the JKM swap was up 10.0% WoW to US\$18.8/mmbtu, 50.7% higher YoY.

Energy storage: In the week-ended 22 May, prices of 50/100/280/314Ah battery cell prices rose RMB0.001/0.001/0.002/0.001Wh WoW to RMB0.426/0.413/0.336/0.358Wh. The prices of 215KW string PCS, 2500KW/1725KW centralized PCS were flattish WoW at RMB0.091/0.065/0.07 per W.

Refining runrate remained low; chemical cost slide

Refining: China's refining margin (one-month crude price lag) in May'26 was US\$11.3/b verse US\$31.5/b in Apr'26, per our calculation. The run-rate of independent refineries in Shandong in the week ended 22 May 2026 has down 1.1ppt. WoW to 52.5%. SOE refiners stayed at 67% for the third consecutive week.

Petrochemicals: North Asia naphtha prices decreased by 10.5% WoW to US\$915/t in the week ended 22 May, tracking the decrease in crude oil. Over the same period, ethylene prices slipped 6.8% WoW to USD 1,101/t, while propylene prices down 1.2% WoW to USD 1,231/t. Downstream, LLDPE decreased 0.9% WoW to USD1,133/t, while PP prices decreased by 2.0% WoW to USD 1,223/t.

25 May 2026

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See the Appendix for a list of abbreviations used in the report

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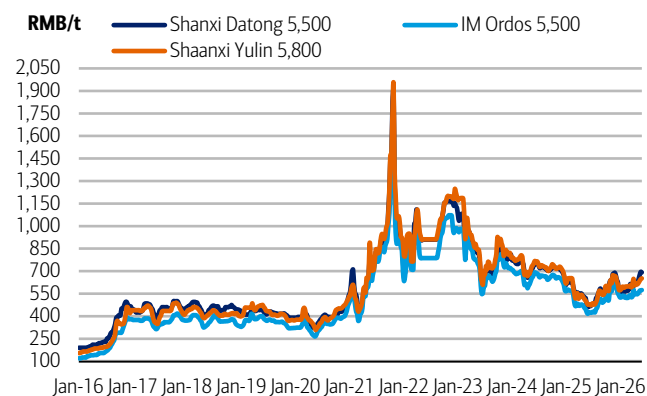
Weekly updates

Coal

- The QHD 5,500kcal price was flat WoW at RMB834/t during the week-ended 15 May;
- The NEWC 6,000K price was +0.3% WoW to US\$132.05/t, at a 23.5% premium to the QHD price;
- The Liulin No.4 HCC price was RMB1,620/t, down 1.2% WoW, during the week-ended 22 May 2026;
- As of 20 May, the water inflow at the Three Gorges Reservoir was 20,000cm/s, 102% higher than the 2005-25 average of 10,881cm/s.

Exhibit 1: ASP at coal mine pits

Thermal coal prices at mine in Shanxi (Kcal5.5k)/Inner Mongolia (Kcal5.5k)/Shaanxi (Kcal5.8k) changed -0.4%/+0.3%/+0.9% WoW to RMB692/574/652/t as of 22 May 2026

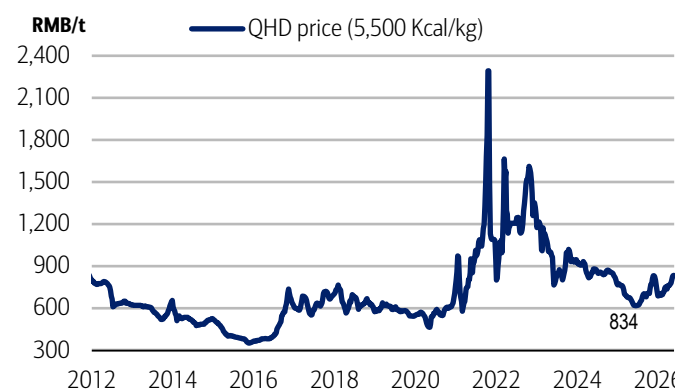


Source: Sxcoal, BofA Global Research

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Exhibit 2: ASP at Qinhuangdao port (Kcal5,500)

As of 22 May, ASP of QHD 5,500kcal was flat WoW at RMB834/t

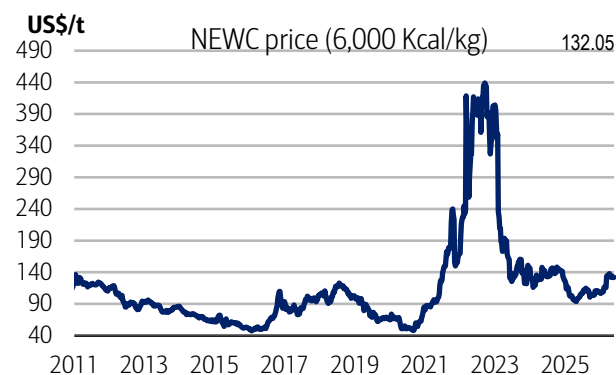


Source: Sxcoal, BofA Global Research

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Exhibit 3: NEWC 6,000K thermal coal

NEWC 6,000K thermal coal was +0.3% WoW to US\$132.05/t as of 22 May 2026



Source: Sxcoal, BofA Global Research

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Exhibit 4: Liulin No. 4 hard coking coal price (incl. VAT)

Liulin No. 4 hard coking coal price was RMB1,620/t, down 1.2% WoW, during the week-ended 22 May 2026



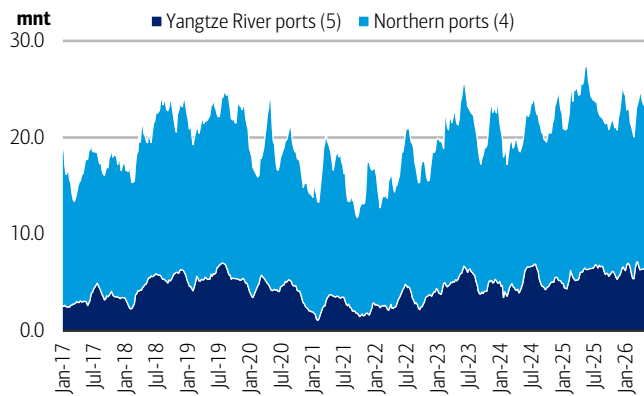
Source: Sxcoal, BofA Global Research

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Exhibit 5: Ports inventory (Northern and Southern)

Ports inventory (Northern +Southern) was +1.9% WoW to 23.83mnt as of 21 May 2026

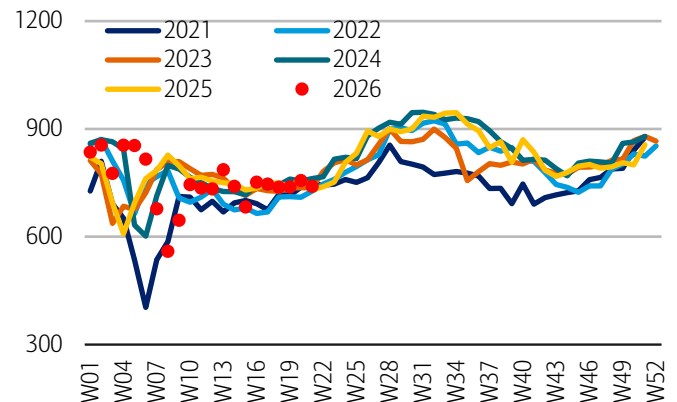


Source: Sxcoal, BofA Global Research

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Exhibit 8: China six major IPPs (unit: kt)

Inventory at the six major IPPs increased by 0.7% WoW to 12.9mnt, as of 22 May 2026; daily-burn down 2.1% WoW to 739.7kt

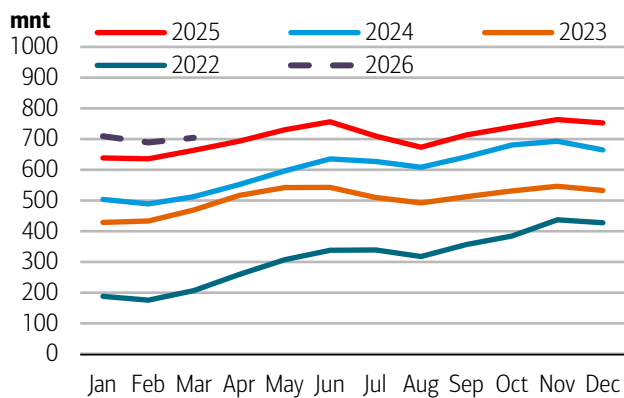


Source: Sxcoal, BofA Global Research

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Exhibit 7: China coal social inventory

China coal social inventory up 2% YoY to 704.5mnt by Mar '26

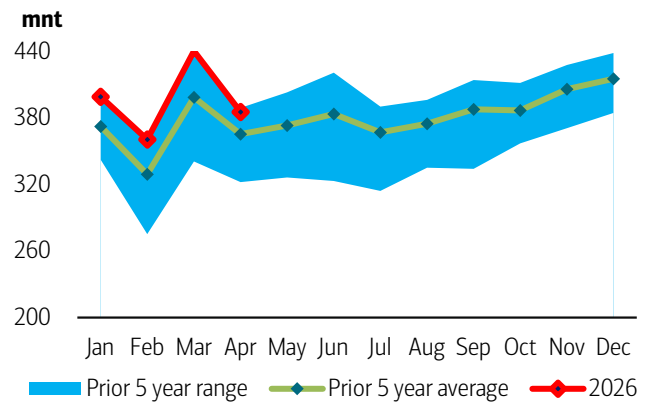


Source: Sxcoal, BofA Global Research

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Exhibit 8: YTD China coal production

China coal production was 385.6mnt, down 1% YoY in Apr '26

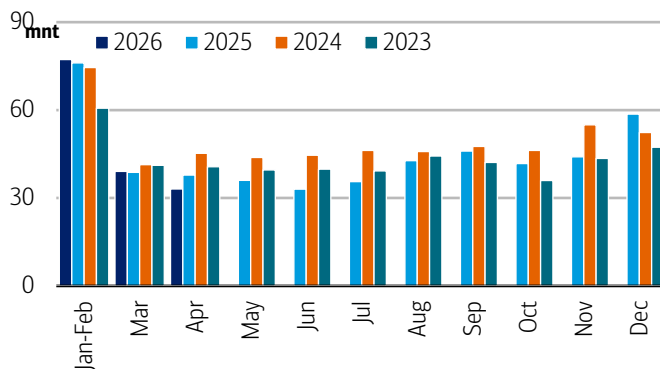


Source: China NBS, Wind, BofA Global Research

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Exhibit 9: China monthly coal imports

Total coal (including lignite) imports was 33mnt. down 13% YoY in Apr'26.



Source: China Customs, Wind, BofA Global Research

Note: Since 2020, no single-month trade data are available for Jan-Feb

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Oil

Brent oil decreased by 5.2% WoW to US\$103.5/b and WTI oil prices decreased by 8.4% WoW to US\$96.6/b, during the week-ended 22 May 2026. The WTI discount to Brent expanded from US\$3.8/b to US\$6.9/b in the week ended 15 May.

Factors supporting oil prices include the following:

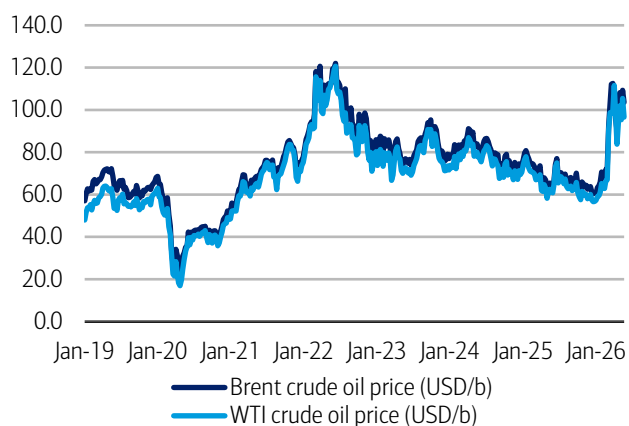
- Bloomberg reported Iran has refused to make concessions on its uranium stockpile and the issue of tolls for transit through the Strait of Hormuz, leaving US–Iran negotiations at a stalemate;
- Bloomberg reported Iran is in discussions with Oman regarding the establishment of a permanent tolling system for the Strait of Hormuz;
- The US total oil inventory (one-week lag) was down 18mb WoW to 819mb through the week ended 15 May 2026.

Factors suppressing oil prices include the following:

- US Secretary of State Marco Rubio said there had been “slight progress” in mediated talks with Iran. Tehran is currently reviewing the latest US proposal delivered through Pakistan, although no timeline has been provided for an official response;
- Bloomberg reported The United States has issued a new waiver for Russian crude oil, with validity extended through June 17;
- Bloomberg reported crude loadings at Russia’s Black Sea port of Novorossiysk have fully resumed, with exports recovering to approximately 3.6mbd;

Exhibit 12: Brent and WTI weekly prices

Brent oil decreased by 5.2% WoW to US\$103.5/b and WTI oil prices decreased by 8.4% WoW to US\$96.6/b

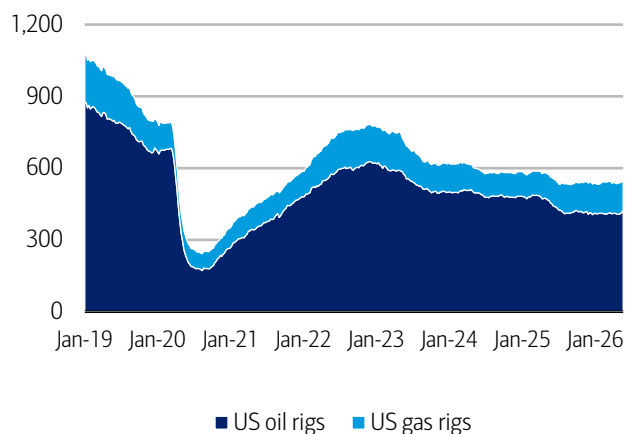


Source: Bloomberg, BofA Global Research

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Exhibit 11: US weekly oil and gas rig count

Oil rigs was +10 WoW to 425 and gas rigs -3 WoW to 125; total rig counts of 550 through the week ended 22 May 2026



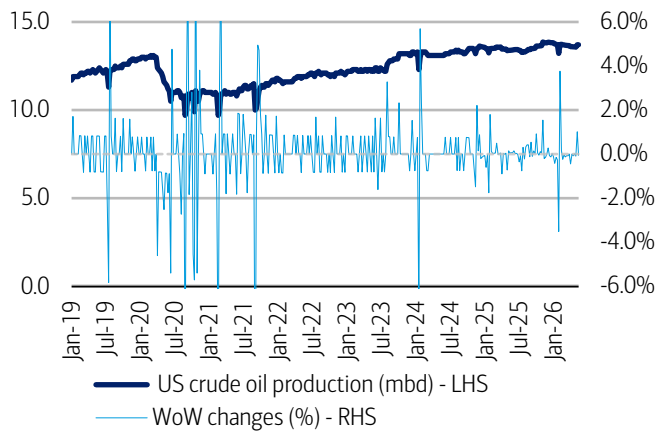
Source: Baker Hughes, Bloomberg, BofA Global Research

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Exhibit 12: US crude oil production (one-week lag)

Flat WoW at 13.7mbd

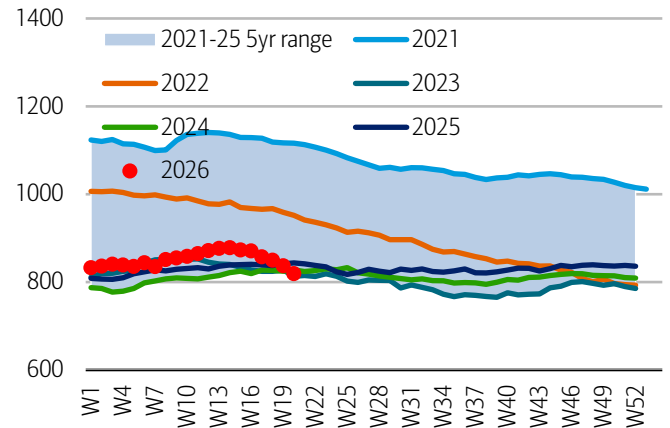


Source: EIA, Bloomberg, BofA Global Research

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Exhibit 13: US total oil inventory (mb) (one-week lag)

Down 18mb WoW to 819mb

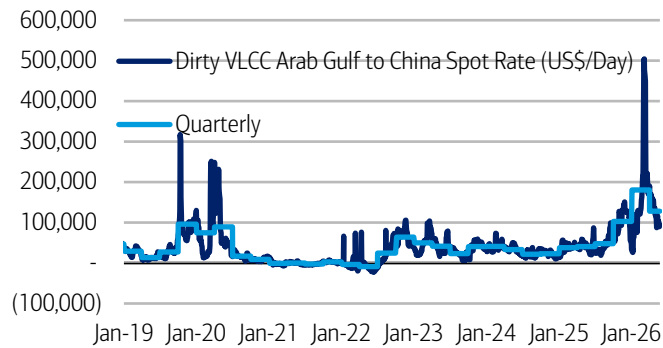


Source: EIA, Bloomberg, BofA Global Research

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Exhibit 14: Dirty VLCC Arab Gulf to China spot rate (USD/day)

Down 10.9% WoW to USD93k/day

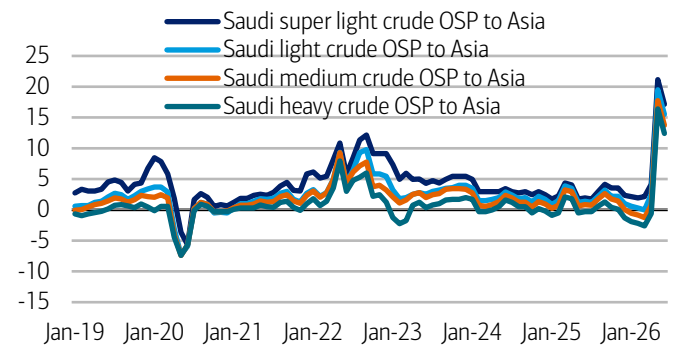


Source: Bloomberg, BofA Global Research

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Exhibit 15: Saudi Arabian OSP (official selling price)

Saudi trimmed Jun '26 OSP by USD4/bbl MoM



Source: Bloomberg, BofA Global Research

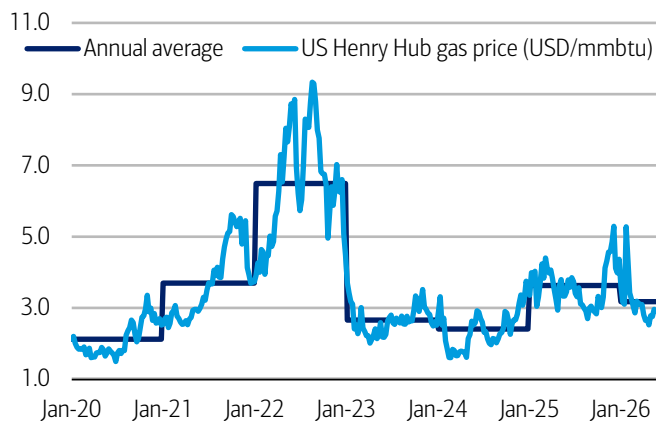
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Natural gas

- In the week-ended 22 May 2026, the US Henry Hub natural gas price was down 1.8% WoW to US\$2.91/mmbtu, 12.8% lower YoY;
- The Netherlands TTF natural gas price was down 4.2% WoW to US\$16.41/mmbtu, 34.7% higher YoY;
- The JKM swap was up 10.0% WoW to US\$18.81/mmbtu, 50.7% higher YoY;
- The China CIF LNG import price (one-week lag) was up 26.9% WoW to US\$14.1/mmbtu in the week ended 17 May, flat YoY.

Exhibit 18: US Henry Hub natural gas price (US\$/mmbtu)

Down 1.8% WoW to US\$2.91/mmbtu during the week ended 22 May 2026

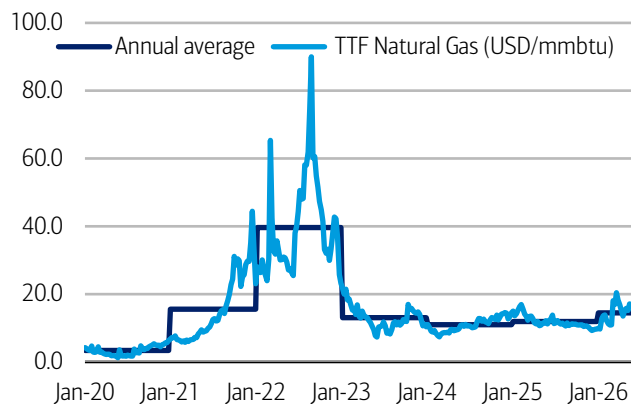


Source: Bloomberg, BofA Global Research

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Exhibit 19: Netherlands TTF Natural gas price (US\$/mmbtu)

Down 4.2% WoW to US\$16.41/mmbtu

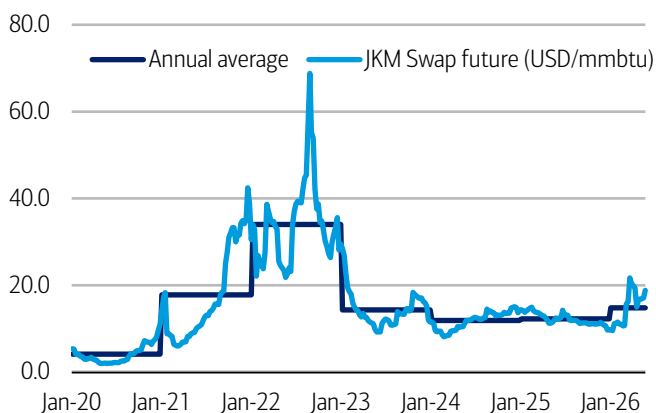


Source: Bloomberg, BofA Global Research

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Exhibit 18: Northern Asia LNG-JKM swap future (US\$/mmbtu)

Up 10.0% WoW to US\$18.81/mmbtu

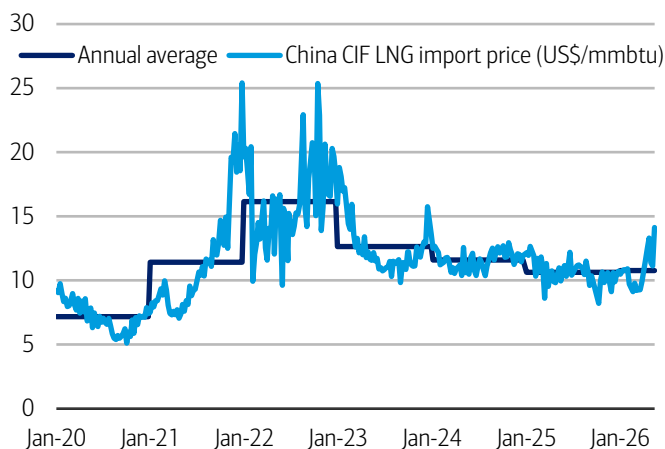


Source: Bloomberg, BofA Global Research

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Exhibit 19: China CIF LNG import price (US\$/mmbtu)

Up 26.9% WoW to US\$14.1/mmbtu in the week ended 17 May



Source: SHPGX, Wind, BofA Global Research

Note: originally reported as an index by SHPGX with one unit=RMB28.53/t

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Exhibit 22: US natural gas storage (bcf)
Up 4.4% WoW to 2,391bcf

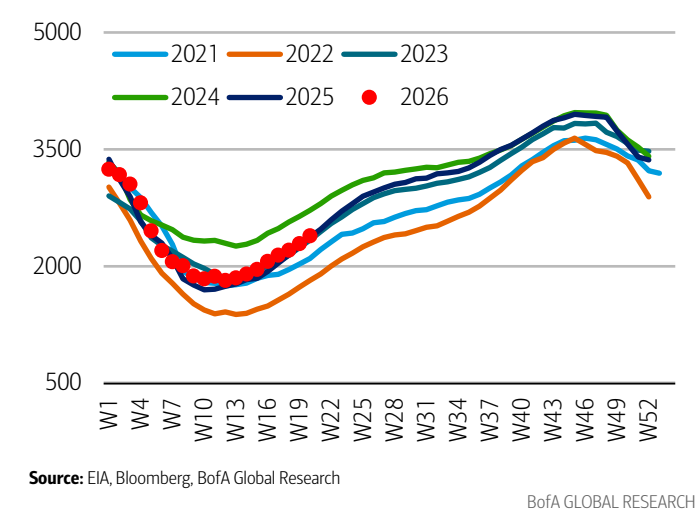
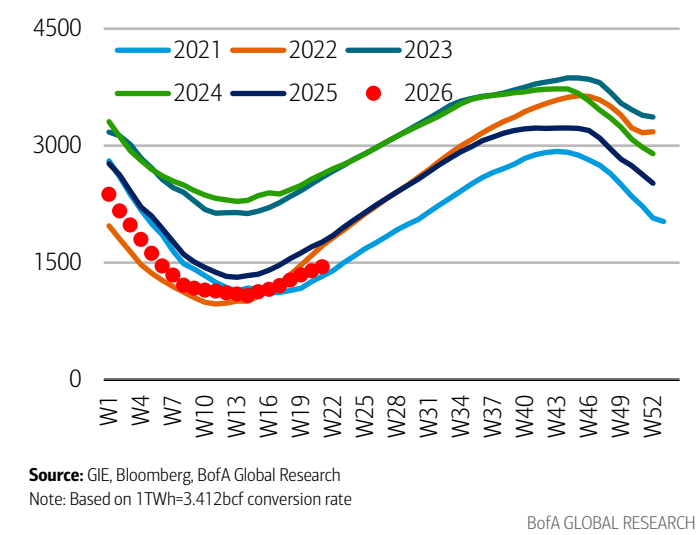


Exhibit 23: European natural gas storage (bcf)
Up 3.6% WoW to 1,446bcf

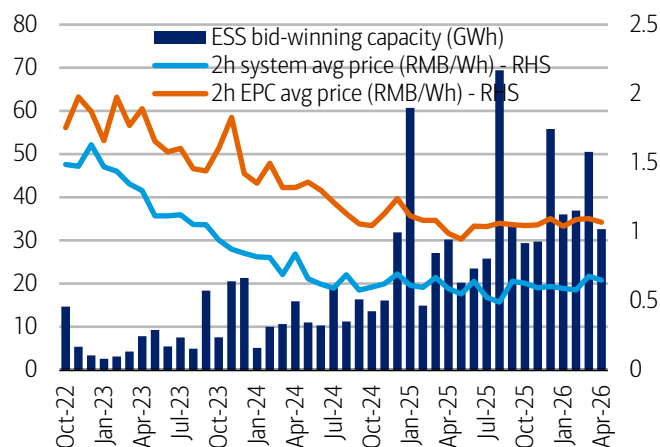


Energy storage

- In Apr'26, China inverters exports up 12% YoY (of which Anhui -30% YoY);
- In Apr'26, China BESS bid-winning capacity was 32.6GWh, -35% MoM/8% YoY; average bid prices for BESS and EPC were RMB0.65/1.069/Wh;
- Prices of 50/100/280/314Ah battery cell prices rose RMB0.001/0.001/0.002/0.001Wh WoW to RMB0.426/0.413/0.336/0.358Wh in the week ended 22 May 2026;
- Prices of 215KW string PCS, 2500KW/1725KW centralized PCS was flattish WoW at RMB0.091/0.065/0.07 per W, respectively, in the week ended 22 May.

Exhibit 22: China BESS bidding prices and capacity

In Apr'26, China BESS bid-winning capacity was 32.6GWh, -35% MoM/8% YoY; average bid prices for BESS and EPC were RMB0.65/1.069/Wh

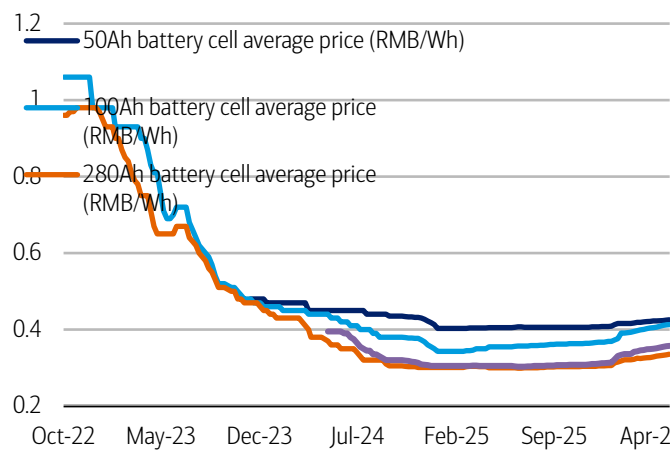


Source: CABIA, BofA Global Research

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Exhibit 24: China energy storage battery cell prices (RMB/Wh)

Prices of 50/100/280/314Ah battery cell prices rose RMB0.001/0.001/0.002/0.001Wh WoW to RMB0.426/0.413/0.336/0.358Wh in the week ended 22 May 2026

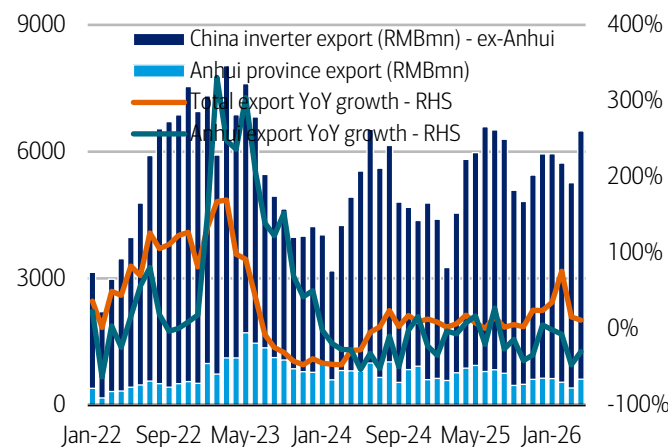


Source: SMM, BofA Global Research

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Exhibit 23: China inverters monthly export (RMBmn)

In Apr'26, China inverters exports up 12% YoY, and Anhui -30% YoY

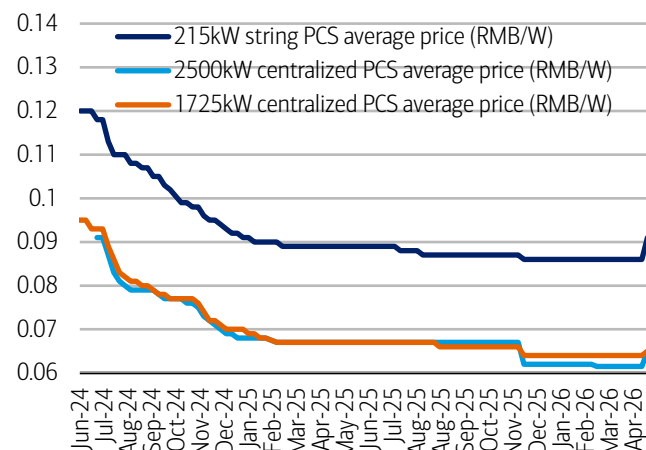


Source: China Customs, BofA Global Research

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Exhibit 25: China PCS prices (RMB/W)

Prices of 215KW string PCS, 2500KW/1725KW centralized PCS was flattish WoW at RMB0.091/0.065/0.07 per W, respectively, in the week ended 22 May



Source: SMM, BofA Global Research

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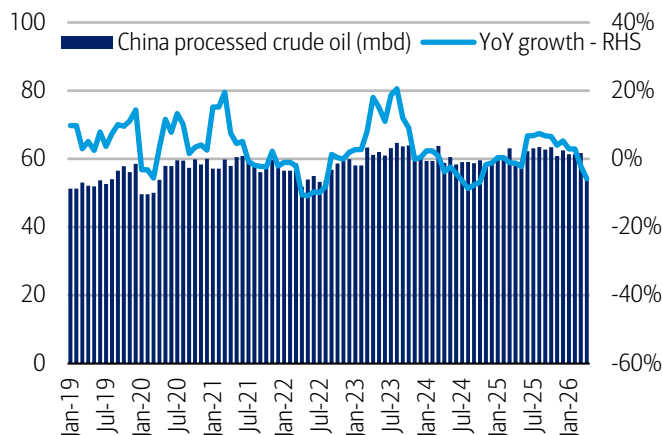


Refining

- China's refining margin (one-month crude price lag) in May'26 was US\$11.3/b verse US\$31.5/b in Apr'26, per our calculation. The 2026 average GRM came in at US\$19.8/b vs. US\$10.1/b in 2025;
- The National Development and Reform Commission (NDRC) had lifted the gasoline and diesel retail prices by RMB75/ 70/ton in the latest round of price adjustment on 21 May 2026; the prices are now RMB10,165/ton and RMB9,085/ton, respectively. The next round of price adjustment is scheduled at the night of 4 Jun. 2026;

Exhibit 26: China monthly processed crude oil (mnt)

China crude throughput of 54.7mnt in Apr'26, down 5.8% YoY

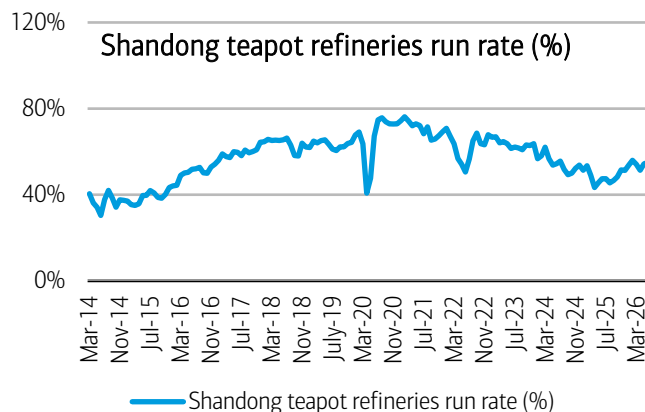


Source: NBS, CEIC, BofA Global Research

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Exhibit 27: Shandong teapots refinery run rates (%)

Average run rate of teapots was 54.6% in May '26 vs. 55.0% in Apr '26

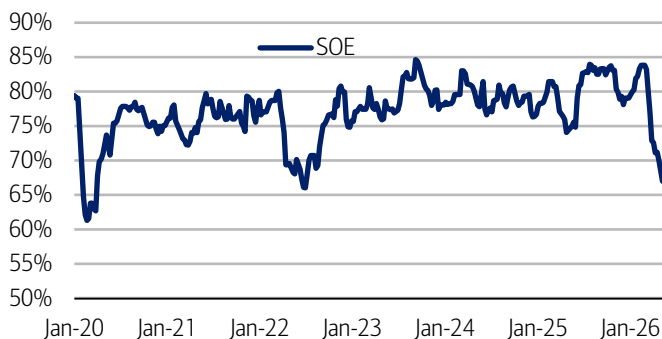


Source: Bloomberg, S&P Global, BofA Global Research

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Exhibit 28: SOE refinery run rates (%)

Average run rate of SOE refinery was 67% in May '26 vs. 71% in Apr '26

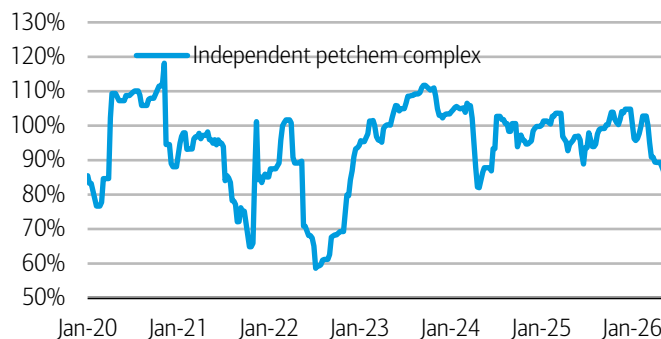


Source: SC199

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Exhibit 29: Independent petrochemical complex run rates (%)

Average runrate of independent complex was 81% in May '26 vs. 89% in Apr '26

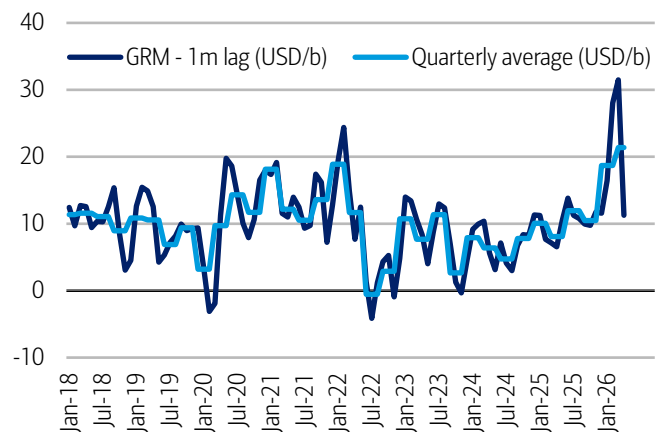


Source: SC199

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Exhibit 30: China gross refining margin (GRM) with 1mo-lag crude price

Profit of US\$11.3/b in May'26 verse US\$31.5/b in Apr'26

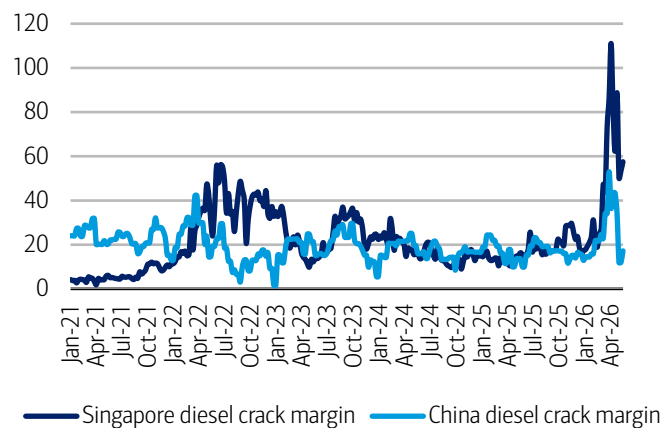


Source: Wind, BofA Global Research estimates

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Exhibit 31: Diesel crack margin in China vs. Singapore (US\$/b)

China diesel crack margin was US\$17/b in the week ended 22 May 2026



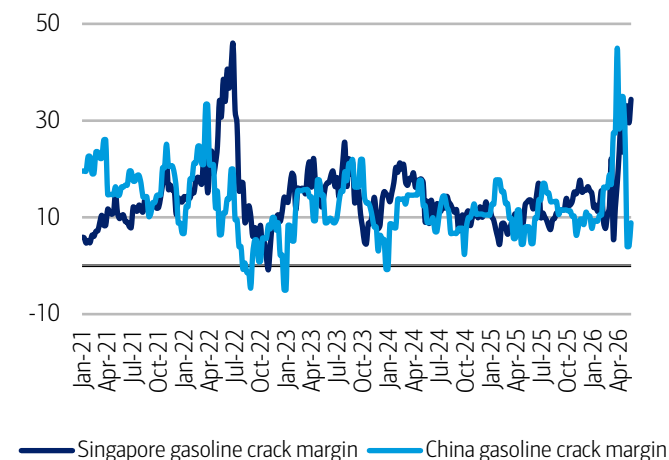
Source: Bloomberg, Wind, BofA Global Research

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Exhibit 32: Gasoline crack margin in China vs. Singapore (US\$/b)

China gasoline crack margin was US\$9/b for the week ended 22 May 2026

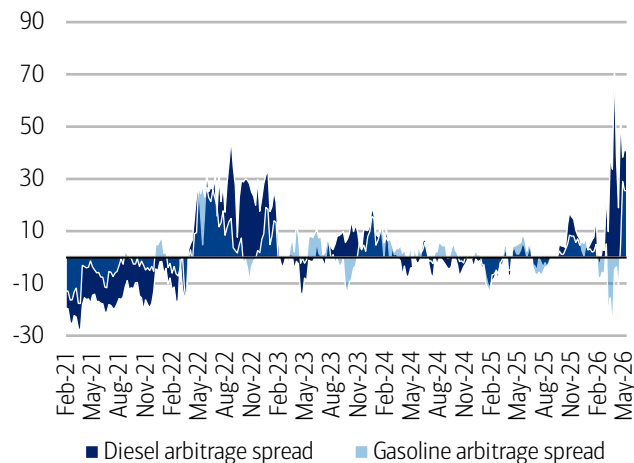


Source: Bloomberg, Wind, BofA Global Research

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Exhibit 33: Diesel/gasoline export arbitrage spread (US\$/b)

Export arbitrage spread for diesel and gasoline were US\$40/b and US\$26/b, respectively.



Source: Bloomberg, Wind, BofA Global Research

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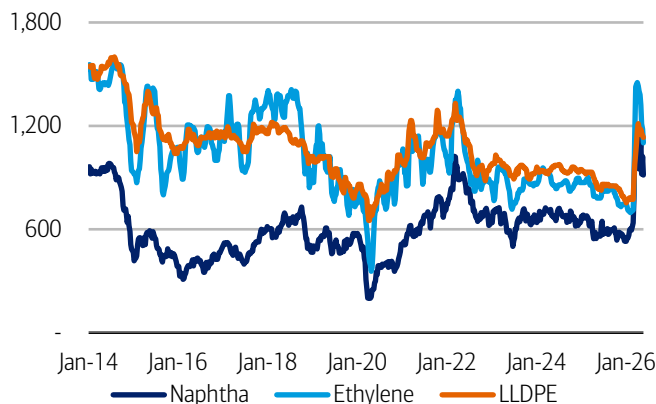


Chemicals

- During the week ended 22 May 2026, the Northeast Asia naphtha price decreased by 10.5% WoW to US\$915/ton
- The Northeast Asia LLDPE price decreased by 0.9% WoW to US\$1,133/ton and PP price decreased by 2.0% WoW at US\$1,223/ton;
- The LLDPE-ethylene spread expanded from negative US\$38/ton to US\$32/ton;
- The PP-propylene spread turned to negative US\$8/ton from US\$8/ton a week before;

Exhibit 34: Ethylene-naphtha spread expanded to USD186/t

Naphtha, ethylene and LLDPE prices

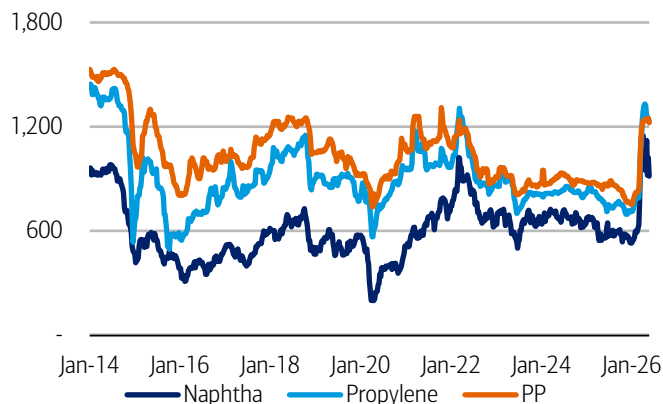


Source: Wind

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Exhibit 35: Propylene-naphtha spread expanded to USD316/t

Naphtha, propylene and PP prices

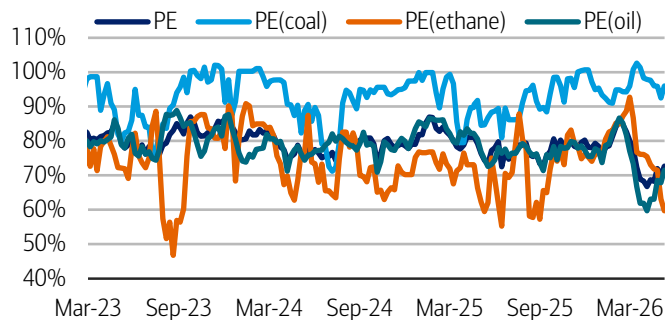


Source: Wind

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Exhibit 36: In QTD, China runrate averaged at 69%, vs. average 79% in 2025

China PE runrate

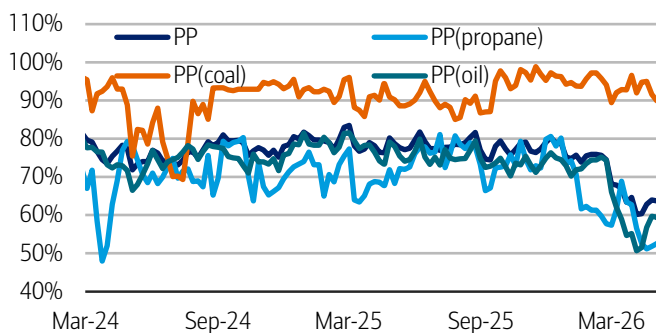


Source: SC199

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Exhibit 37: China PP runrate averaged at 63%, vs. average 78% in 2025

China PP runrate

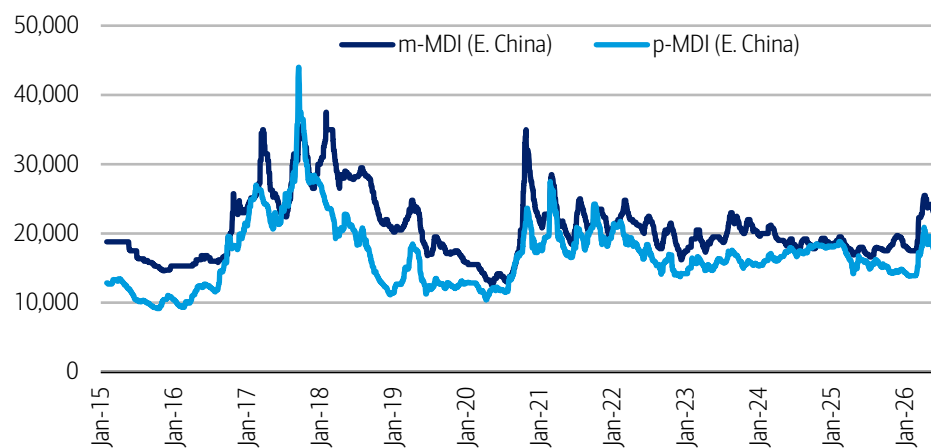


Source: SC199

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Exhibit 38: East China m-MDI and p-MDI price (RMB/ton)

East China m-MDI and p-MDI prices was -2.9% / -3.0% WoW to RMB23,100/ton and RMB17,800/ton in the week ended 22 May 2026, respectively



Source: Wind, BofA Global Research

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Appendix

Exhibit 41: Abbreviations

Abbreviations used in the report

Abbreviation	Full name	Abbreviation	Full name
bbl/b	Barrel(s)	mntpa	Million tons per year
bcf	Billion cubic	MoM	Month on month
BESS	Battery energy storage system	NBS	National bureau of statistics
bnt	Billion tons	NEWC	Newcastle coal
CIF LNG	Cost, insurance and freight liquified natural gas	OPEC	The organization of petroleum exporting countries
cm	Cubic meters	OSP	Official selling price
CNESA	China Energy Storage Alliance	NDRC	National Development and Reform Commission
EIA	U.S. Energy Information Administration	PCS	Power conversion system
EPC	Engineering, procurement and construction	p-MDI	Polymeric methylene diphenyl isocyanate
FOB	Free on board	PP	Polypropylene
GIE	Gas Infrastructure Europe	PTR	PetroChina
GRM	Gross refining margin	PV	Photovoltaic
GWh	Gigawatt-hour	QHD	Qinhuangdao
HCC	Hard Coking Coal	SHPGX	Shanghai Petroleum and Natural Gas Exchange
IPP	Independent power plant	SMM	Shanghai Metals Market
JKM	Japan/Korea Marker (Northeast Asian spot price index for LNG delivered ex-ship to Japan and Korea)	SNP	Sinopec
ktpa	Thousand tons per year	SOE	State owned enterprise
LLDPE	Linear low-density polyethylene	t	Ton(s)
LNG	Liquefied natural gas	TTF	Title transfer facility
mb	Million barrels	VLCC	Very large crude carrier
mbd	Million barrels per day	W	Watt
MDI	Methylene diphenyl isocyanate	Wh	Watt-hour
mmbtu	Metric million British thermal unit	WoW	Week on week
m-MDI	Monomeric methylene diphenyl isocyanate	WTI	West Texas Intermediate
mnt	Million tons	YoY	Year on year
		YTD	Year to date

Source: BofA Global Research

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R1}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R1} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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